

Month-End Payroll Variance Analysis

BlueSteel Manufacturing Corp. • August 2024

MONTH-END PAYROLL VARIANCE ANALYSIS

Reporting Period: August 1 - August 31, 2024

Prepared by: Payroll & Compensation Accounting

Reviewed by: Corporate Controller

Executive Summary:

Total gross payroll expense for the month of August amounted to \$4,150,800, representing an \$185,000 (4.7%) unfavorable variance against the budgeted baseline of \$3,965,800. This report isolates the primary drivers of this cost overrun across our three primary operating divisions.

Variance Breakdown:

1. Direct Labor Overtime (Manufacturing Division): \$112,500 Unfavorable.

Unplanned equipment downtime on Assembly Line C required weekend shifts to meet contractual delivery deadlines for OEM clients. This resulted in 1,850 hours billed at time-and-a-half (1.5x) and 420 hours at double-time (2.0x) for unionized floor staff.

2. Severance and Accrued PTO Payouts: \$45,300 Unfavorable.

The restructuring of the regional sales team led to the termination of three mid-level managers. Per corporate policy, all accrued but unused Paid Time Off (PTO) was liquidated upon exit, alongside standardized severance packages.

3. Executive Bonus Accrual Adjustment: \$27,200 Unfavorable.

Following the mid-year financial audit, the compensation committee authorized a 5% upward revision in the target achievement multiplier for the Senior Leadership Team's short-term incentive plan (STIP). This necessitated a true-up entry for the August accrual period to align with the revised year-end payout projections. Standard payroll tax withholdings and employer-side FICA contributions have been reconciled and remitted on schedule.